

SECURITIES INDUSTRY ESSENTIALS (SIE)

Practice Examination

ABOUT THIS EXAM

- This practice exam covers the four content areas of FINRA's SIE exam:
 1. Knowledge of Capital Markets
 2. Understanding Products and Their Risks
 3. Understanding Trading, Customer Accounts, and Prohibited Activities
 4. Overview of the Regulatory Framework
- 15 multiple-choice questions. Select the single best answer.
- An answer key with explanations follows the questions.
- These are original study questions, NOT actual exam questions.
- Sources are cited on the final page.

Candidate Name: _____ Date: 2026-06-09

Questions

1. Which of the following is the PRIMARY function of the Federal Reserve Board's open market operations?

- A. Setting the federal income tax rate
- B. Buying and selling U.S. government securities to influence the money supply
- C. Regulating broker-dealer net capital
- D. Insuring bank deposits

2. A new issue of securities being sold to the public for the first time, with proceeds going to the issuer, takes place in which market?

- A. The secondary market
- B. The third market
- C. The primary market
- D. The fourth market

3. Which entity provides SIPC-equivalent protection by insuring bank deposits up to applicable limits?

- A. SIPC
- B. FDIC
- C. FINRA
- D. The Federal Reserve

4. An investor seeking the HIGHEST priority claim on a corporation's assets in the event of liquidation should purchase the company's:

- A. Common stock
- B. Preferred stock
- C. Secured bonds
- D. Convertible debentures

5. Which type of risk CANNOT be eliminated through diversification?

- A. Business risk
- B. Systematic (market) risk
- C. Credit risk
- D. Liquidity risk

6. A municipal bond's interest is generally:

- A. Subject to federal, state, and local taxes

- B. Exempt from federal income tax
- C. Always fully taxable at the federal level
- D. Exempt only from state estate tax

7. An investor buys a call option. The investor's maximum potential loss is:

- A. Unlimited
- B. The strike price minus the premium
- C. The premium paid
- D. The strike price plus the premium

8. The regular-way settlement period for most equity and corporate bond transactions is:

- A. T+1 business day
- B. T+2 business days
- C. T+3 business days
- D. Same day

9. A customer account opened by two individuals as 'joint tenants with right of survivorship' (JTWROS) means that upon the death of one owner:

- A. The deceased's share passes to their estate
- B. The account must be immediately closed
- C. The deceased's interest passes to the surviving owner(s)
- D. The account converts to a custodial account

10. Executing transactions in a customer's account that are excessive in size or frequency primarily to generate commissions is known as:

- A. Front running
- B. Churning
- C. Freeriding
- D. Matched orders

11. Under Regulation T, the initial margin requirement for purchasing marginable securities is currently:

- A. 25%
- B. 30%
- C. 50%
- D. 100%

12. Which federal law created the Securities and Exchange Commission (SEC)?

- A. The Securities Act of 1933

- B. The Securities Exchange Act of 1934
- C. The Investment Company Act of 1940
- D. The Trust Indenture Act of 1939

13. A registered representative must generally complete the Regulatory Element of continuing education:

- A. Only once, at the time of registration
- B. Annually
- C. Every three years
- D. Only upon changing firms

14. Which of the following is a self-regulatory organization (SRO) that oversees broker-dealers?

- A. The Federal Reserve
- B. FINRA
- C. The U.S. Treasury
- D. The FDIC

15. A 'statutory disqualification' may result when an individual:

- A. Fails a single continuing-education session
- B. Has been expelled or barred from a securities SRO, or convicted of certain crimes
- C. Changes employing firms more than once
- D. Holds more than one registration category

Answer Key and Explanations

1. Correct answer: B

The Federal Open Market Committee (FOMC) buys and sells U.S. government securities in the open market to expand or contract the money supply and influence short-term interest rates.

2. Correct answer: C

In the primary market, an issuer sells new securities to investors and receives the proceeds. Subsequent trading among investors occurs in the secondary market.

3. Correct answer: B

The FDIC insures bank deposits. SIPC protects customers of failed broker-dealers, but it is not insurance against market loss.

4. Correct answer: C

In a corporate liquidation, secured creditors (e.g., holders of secured bonds) are paid before unsecured creditors, preferred stockholders, and common stockholders.

5. Correct answer: B

Systematic risk, also called market risk, affects the entire market and cannot be diversified away. Unsystematic risks (business, credit, etc.) can be reduced through diversification.

6. Correct answer: B

Interest on most municipal bonds is exempt from federal income tax, and may also be exempt from state and local taxes for in-state residents.

7. Correct answer: C

The buyer (holder) of an option can lose no more than the premium paid for the contract.

8. Correct answer: A

As of May 28, 2024, regular-way settlement for most equities, corporate bonds, and municipal securities was shortened to T+1 (one business day after the trade date).

9. Correct answer: C

In a JTWRROS account, a deceased owner's interest passes automatically to the surviving tenant(s), bypassing the deceased's estate.

10. Correct answer: B

Churning is excessive trading in a customer account, driven by the representative's interest in commissions rather than the customer's objectives. It is a prohibited practice.

11. Correct answer: C

Regulation T, set by the Federal Reserve Board, requires an initial margin deposit of 50% of the purchase price of marginable equity securities.

12. Correct answer: B

The Securities Exchange Act of 1934 created the SEC and governs the secondary market. The Securities Act of 1933 governs new issues.

13. Correct answer: B

Effective 2023, FINRA requires registered persons to complete the Regulatory Element of continuing education annually by December 31 for each registration category they hold.

14. Correct answer: B

FINRA (the Financial Industry Regulatory Authority) is the SRO that regulates broker-dealers and their registered representatives, under SEC oversight.

15. Correct answer: B

Statutory disqualification can arise from, among other things, expulsion or being barred by an SRO, or certain felony or securities-related misdemeanor convictions within the prior ten years.

Sources

- [1] FINRA. "Securities Industry Essentials (SIE) Exam." <https://www.finra.org/registration-exams-ce/qualification-exams/securities-industry-essentials-exam-sie>
- [2] FINRA. "SIE Content Outline." Financial Industry Regulatory Authority.
- [3] U.S. Securities and Exchange Commission. "The Laws That Govern the Securities Industry." <https://www.sec.gov/about/about-securities-laws>
- [4] Board of Governors of the Federal Reserve System. "Open Market Operations" and "Regulation T (Credit by Brokers and Dealers)." <https://www.federalreserve.gov>
- [5] Securities Investor Protection Corporation (SIPC). <https://www.sipc.org> ; Federal Deposit Insurance Corporation (FDIC). <https://www.fdic.gov>
- [6] FINRA. "Settlement Cycle: T+1" (effective May 28, 2024) and FINRA Rule 11140. <https://www.finra.org>
- [7] FINRA. "Continuing Education (CE) Requirements" (Regulatory Element, annual as of 2023). <https://www.finra.org/registration-exams-ce/continuing-education>
- [8] FINRA Rule 2111 (Suitability) and Rule 2020; FINRA By-Laws Article III (Statutory Disqualification).

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